

KENYA POWER SECTOR: A DIMMING LIGHT

Kenyan power sector stocks have left investors reciting Socrates, " It is always darkest before dawn", waiting for a spark to ignite the rallying fire for both KENGEN and KPLC. Yet the pandemic environment was not the best to juggle falling knives – reduced power demand, expensive PPAs, pressure to reduce power tariffs and KENGEN's underachieving sibling who does not pay their debts. Both counters have recently received almost similar investors' sentiments with a YTD loss of 5.01% (KENGEN) and 9.71% (KPLC). KPLC is currently trading at a PE of **2.1x** below the current market valuation of **11.4x** while KENGEN is trading in high waters of **21.5x**. Our feelers in the market can sense investors prayers' for KPLC to do well. However, the company has to exorcise the demons of underachievement and welcome the angels of commercial viability. We hope that the sweeping reforms recommended by the PPA task force will facilitate a turn around for both companies and subsequently lead to their share prices discovering their true north.

Kenya Electricity Generating Company (KENGEN): KENGEN has come under substantial scrutiny owing to internal revelations and challenges facing the power sector. With KPLC being the single off taker of power challenges within KPLC have spilled over to KENGEN in the form of aged receivables and threat of PPA renegotiation, We however continue to see pockets of value on the counter hence our **BUY** recommendation informed by a fair value of **KES 5.30**, translating to a **33.10%** upside on its current price of **KES 3.98**. The firm stands to leverage on increased power generation from traditional sources (Geothermal and Hydro) and renewables sources (Wind, Solar and LNG). We forecast revenues to outpace costs, leading the net earnings to grow at a 5-year CAGR of 4.52% to **KES 12.3Bn**. The counter is expected to continue paying dividends at a DPS of **KES 0.25-0.40** to FY26.

Kenya Power and Lighting Company (KPLC): We issue a **HOLD** on KPLC informed by a fair value of **KES 1.78** representing a 12.73% upside on the current price of **KES 1.58**. With the ghost of the past (Rights issue leading to ownership dilution) already forgotten we still observe, albeit from a distance, some form of value on the counter given the new push for power sector reforms playing into the companies growth story. However, the management has a mountain of work to do to put the companies ducks in a row given the perennial underperformance, ironic for a monopoly. We expect a modest growth in both the top-line (4.17% 5 Year CAGR to **KES 182.26Bn**) and the bottom-line (26.11% 5 Year CAGR to **KES 7.04Bn**). We do not foresee the counter returning to dividend payment in the near term given the need to preserve cash for CAPEX and working capital support.

February 2022

KENGEN: **BUY**

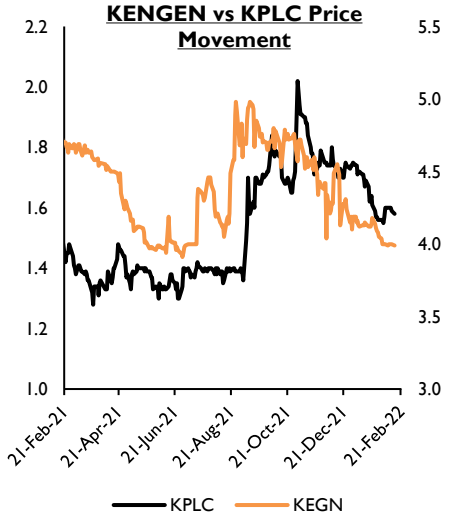
NSE Ticker - KEGN
Bloomberg Ticker – KEGC KR

Target Price – KES 5.30
Current Price – KES 3.98
Potential Upside – 33.10%

KPLC: **HOLD**

NSE Ticker - KPLC
Bloomberg Ticker – KPLL KR

Target Price – KES 1.78
Current Price – KES 1.59
Potential Upside – 12.73%



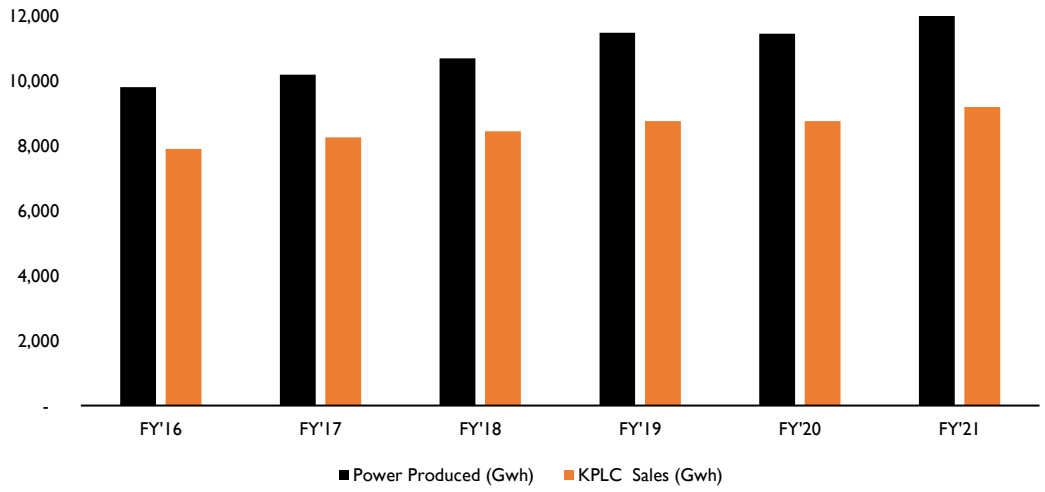
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ENERGY SECTOR IN KENYA

Power sector in Kenya is apexed by the Ministry of Energy whose main work is to provide policy direction regarding the sector. Energy and Petroleum Authority (EPRA) is tasked with providing economic, policy tariff reviews and technical regulation of the electric power, renewable and petroleum sub-sectors. Major reforms over the year has seen the separation of generation (KENGEN), transmission (KETRACO) and distribution (KPLC) functions to different companies. Other supporting organizations include; Geothermal development Agency and The rural Electrification Authority. Furthermore, we continue to see the unbundling of the sector so as to open doors for private sector participation mostly through Public Private Partnerships (PPPs) and licensing of mini grids.

- **Power Generation:** The KENGEN is the major power generator in Kenya currently supplying more than 69.77% of all power purchased by KPLC in FY'21. Over the years, the independent power producers (IPPs) have increased the amount of power generated and supplied to the national grid.

Graph 1: Power generation and distribution



Source: KPLC Annual Report

- **Power Transmission:** Further energy sector reforms in 2009, saw the incorporation of Kenya Transmission Company (KETRACO) which took over power transmission functions from Kenya Power. The transmission company was mandated to design, construct, operate and maintain new high voltage electricity transmission lines. The reforms brought about greater efficiency in the operations of the power industry.

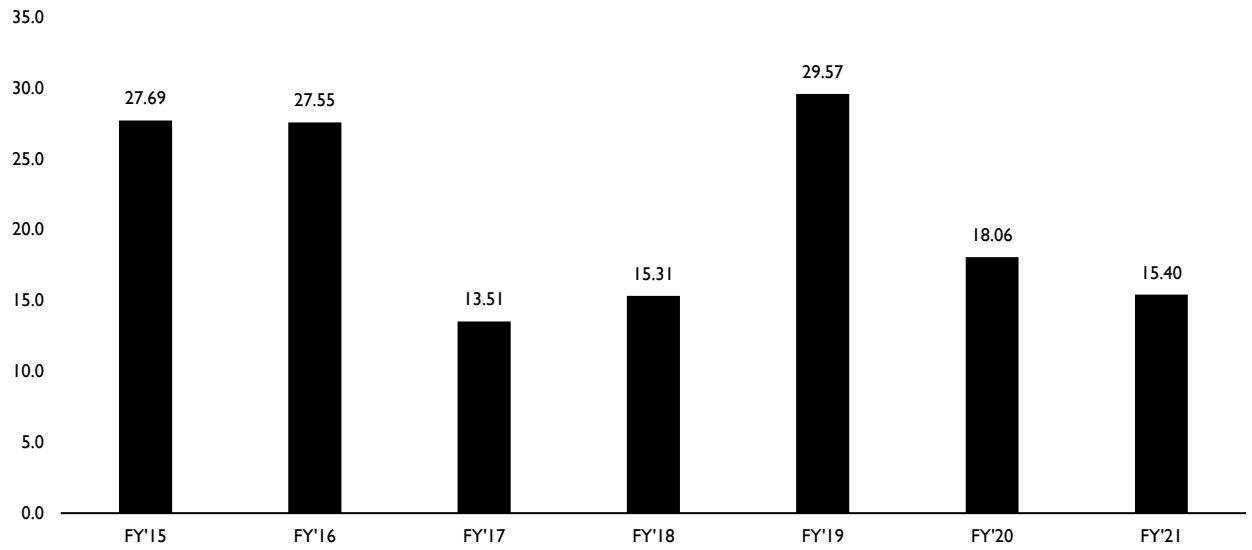
- **Power Distribution:** Kenyan energy sector is a single buyer market handled by Kenya Power and lighting Company (KPLC). Power is bought from power generators, primarily KENGEN, on the basis of negotiated bulk power purchase agreements for onward distribution and retail sales to consumers. However, recently there has been an emergence of mini grids – independent power producers who produce their own power without depending on supply from the national grid.

RECENT DEVELOPMENTS IN THE SECTOR

- **Energy Act 2019:** The Act was introduced to streamline the energy sector through consolidating laws relating to energy, promoting renewable energy, promoting exploration, recovery and commercial utilization of geothermal energy. We view some sections of the act as being negative for sector players. For example section 162 allows consumers who have a power generation capacity of less than 1 MW to supply power to the national grid. Subsequently, the consumer will earn credits which they can offset from their expenses to KPLC. We see this having a negative impact on KPLC's electricity sales and the limiting the capacity for cashflow generation. Additionally, the open access framework provided for in the Act exposes KPLC to competition as consumers can choose their electricity supplier. On the other hand, the Act sort to introduce energy auction models rather than the current take-or-pay model that has seen KPLC locked in expensive PPAs.

- **Finance Act 2021 :** With effect from 1st January 2022, the bill accented to by President Kenyatta in June 2021 provides for several changes:
  - ✓ **Indefinite carry forward of tax losses** – Previously the carry forward period for tax losses was capped at 10 years. We see this is as a positive for the capital intensive power generation process. Power producers (KENGEN and IPPs) will benefit as most projects are long term and take time to breakeven.
  - ✓ **Capital Allowances:** The Act was a further enhancement to the tax amendment of 2020. There will be a 100% investment deduction where the cumulative investment outside Nairobi and Mombasa Counties is valued at **KES 2.0Bn** in the preceding 3 years. Additionally, investments with a value of at least **KES 250Mn** outside Nairobi and Mombasa Counties. We view this as positive for power producers as it encourages generation in spread-out areas of the country. Over the years, KENGEN's CAPEX has grown cyclically with most projects being in Nakuru county and in the Seven- Folks Dams.

Graph 2: KENGEN Historical Capital Expenditure (CAPEX)

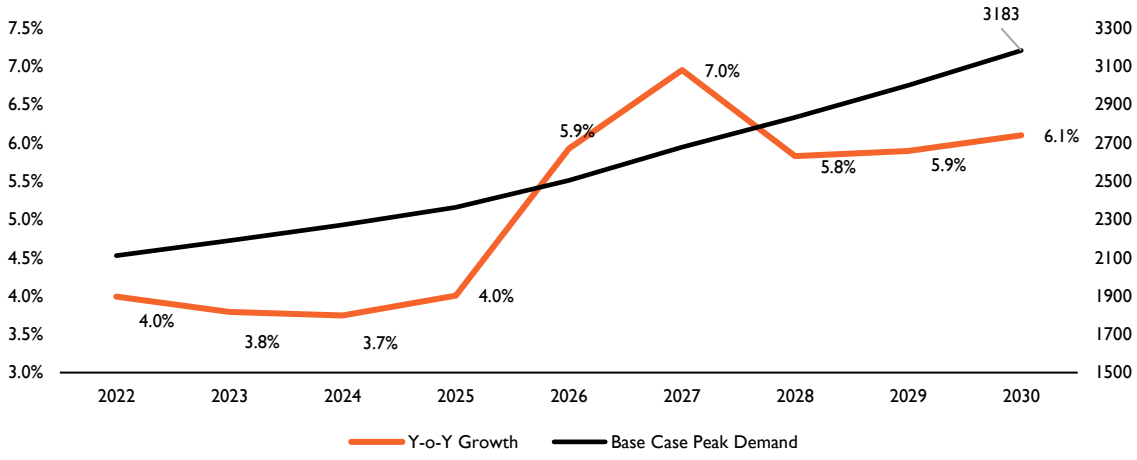


Source: KENGEN Annual Report

RECENT DEVELOPMENTS IN THE SECTOR

- **Least Cost Power Development Plan:** This was a collaboration between various energy sector players in mapping out the energy needs and how to make the sector more efficient in the next 10 years. The plan outlined power sector reforms that should be implemented in the next 10 years to manage both demand and supply side efficiencies. Some of the recommendations included; development of peaking capacity, automatic generation control (AGC), battery storage and better system management to avoid power wastage, peaking long term projects including LNG gas turbine and more hydro projects, as well as, demand side management related to load shedding for optimal energy usage. The committee also projected Kenya's peak power demand to hit **3,183 MW** by 2030, in a base case scenario.

Graph 3: Peak Electricity Demand Forecast



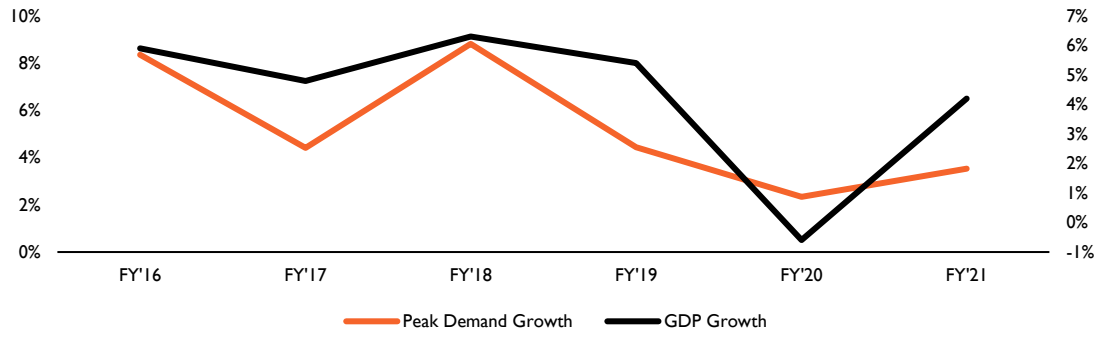
Source: LCDP Report 2021

- **Presidential task force on PPAs :** In March 2021, the president appointed a task for mandated with reviewing the current PPAs signed by KPLC and all power producers. The task force gave recommendations which touched on organizational and structural reforms within KPLC. Furthermore, there was a recommendation of reviewing, renegotiating or termination of PPA for thermal and solar, while geothermal PPAs were to be renegotiated downwards to KENGEN's rate. KPLC was also tasked with reviewing the market feasibility of some of the IPP projects mostly in solar and wind. As part of the task force recommendation implementation the system operator role was recently transferred from KPLC to KETRACO with a mandate of matching power demand and supply. We view the recommendations as a positive for KPLC given the need to remain commercially viable while supplying power to consumers. Additionally, the downward renegotiation of the PPAs was estimated to save around **KES 12.88Bn** to **KES 13.79Bn** per annum which would help in tough balancing act of reducing consumers' power bills.

DEMAND SIDE OVERVIEW

- **Economic recovery to drive demand creation:** Kenya's installed capacity as at June 2021 was at 2,984MW while the peak demand was at **1,993.5MW**. Over the years the economic growth has been in tandem with peak demand growth as expansion in key sectors drives electricity sales. We expect a further recovery in the economy, in the post-pandemic era, to continue been a key driver of electricity demand. We share KPLC's sentiments of the peak demand hitting **3,000MW** by 2030 on the back of higher demand from commercial and industrial consumers.

Graph 4: Growth in GDP vs Peak Demand

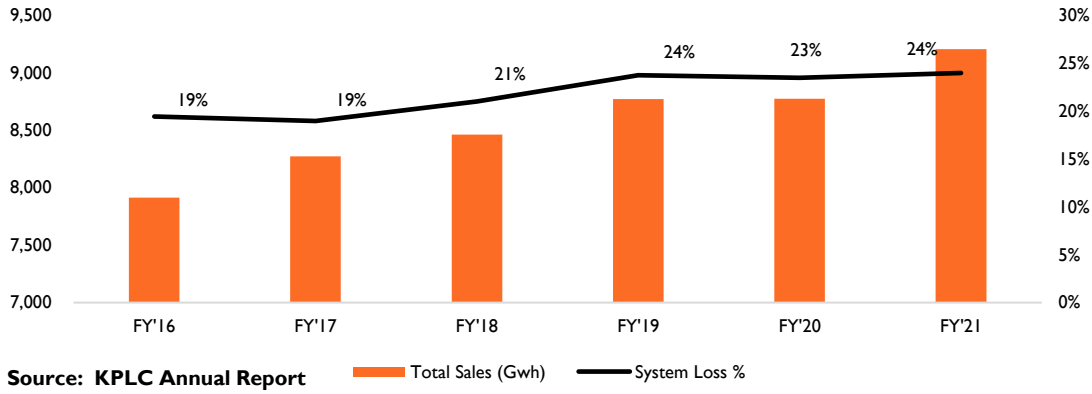


Source: KNBS, KPLC Annual Report

- **Per capita consumption is playing catch up:** The electrification rate is currently at slightly above 70.00% with rural rate being around 60% which above SSA average of 50%. In terms of kwh consumption per capita, currently estimated at 170 Kwh, the country lags behind other comparative economies. The bridge to 100% connection presents an opportunity for KPLC to increase electricity sales through increased connectivity. Additionally, it presents an investment opportunity for KENGEN and other power producers.

- **System losses a threat to commercial viability:** The growth of transmission lines, by a an y/y average of 7.44% to 255,581KMs in 2021, has also contributed to growth in system losses from 18.90% in 2015 to 23.95% in 2021. System looses are more prevalent in low voltage transmissions which have grown the fastest due to rural electrification. KPLC has indicated investments in system upgrades through, Advanced Metering Infrastructure (AMI) will help reduce system losses to the global benchmark of 15.0%. Subsequently, we foresee this having a positive impact on revenues, profitability and the commercial viability.

Graph 5: Growth in GDP vs Peak Demand

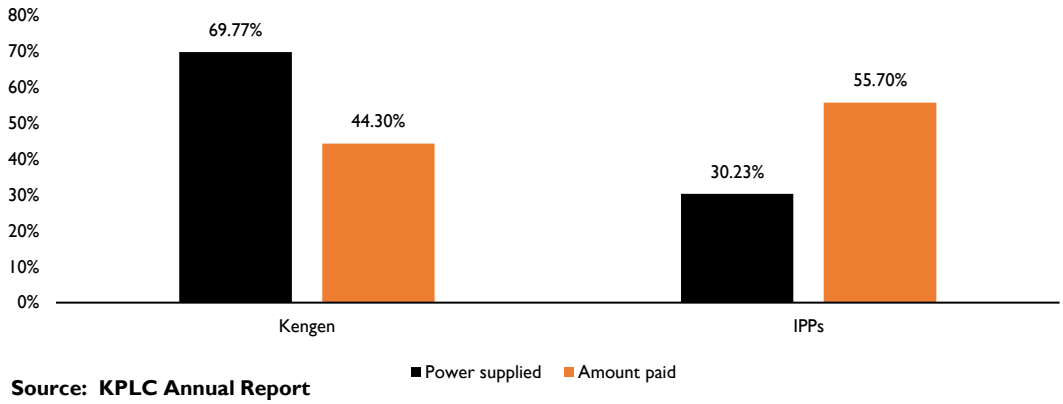


Source: KPLC Annual Report

DEMAND SIDE OVERVIEW

- **Is Power cost reduction sustainable?:** In line with the PPAs taskforce recommendation KPLC, in consultation with EPRA, announced a 30% reduction in power bills. However, the change will be effected in two tranches of 15% each effective December 2021 and within 1Q22. With KPLC historically facing working capital challenges the sustainability of the power cost cuts is in question. We therefore recommend that KPLC should work to reduce system losses to the global benchmark of 15%, therefore saving **KES 13.00Bn** as per the FY21 statements. The company should put more effort in recovering some of the aged receivables freeing more cashflow to operations and reducing payables owed to KENGEN. Additionally, the success of the renegotiated rates with IPPs will be an added benefit. We observed that as at FY21 IPPs were paid 55.70% of the electricity cost after supplying only 30.23% of the power, meaning they are more expensive than KENGEN.

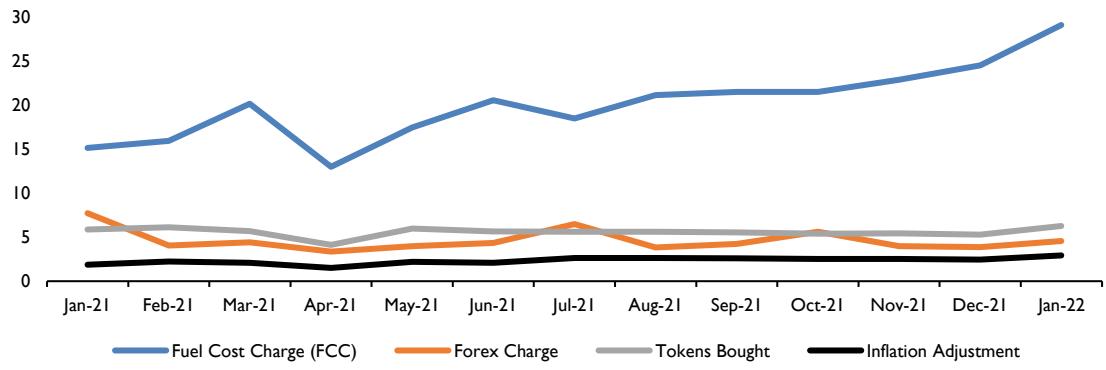
Graph 6: Power Supplied vs Amount Paid



Source: KPLC Annual Report

- **Fuel Prices increase pre paid (tokens) power costs:** The Prices of prepaid power is largely driven by macro economic factors including inflation, foreign exchange and fuel prices. Across 2021, the number of units bought reduced drastically as the toll of rising fuel prices and elevated inflation affected the pricing. Fuel Cost Charge which represents KPLC's cost of power for the previous month which steadily also increased in 2021. Moments of weather vagaries has seen more usage of thermal energy as hydro production reduces leading to a higher FCC. The 30% power bill reduction will bring an uncomfortable balance between rising global oil prices and providing lower power bills.

Graph 7: KES 100 Prepaid 1 Year Breakdown

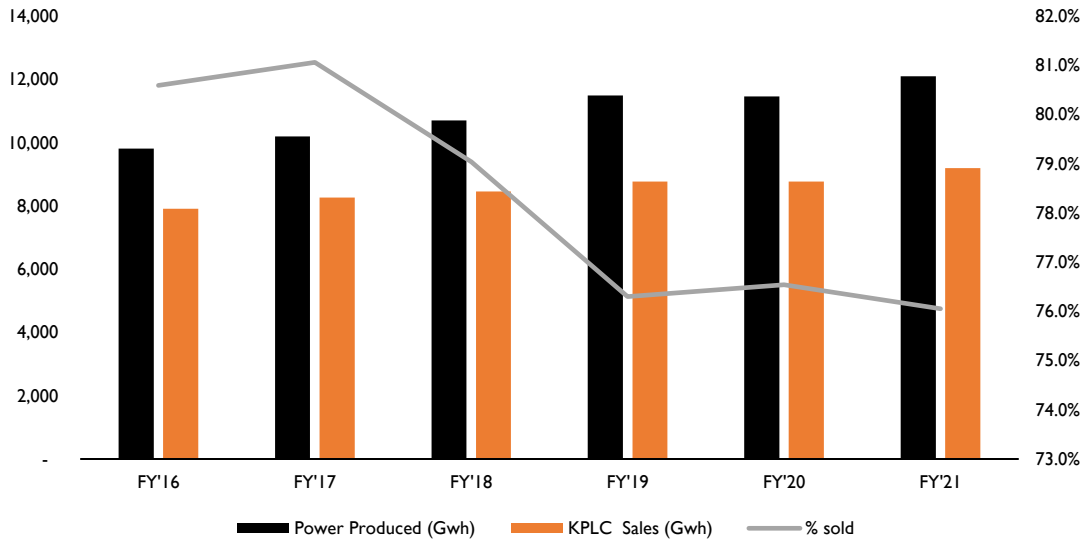


Source: KPLC Annual Report

SUPPLY SIDE OVERVIEW

Historically, supply growing at a 5-year CAGR of 3.47% has outperformed demand (5-year CAGR of 2.16%). However, in the short term we expect power demand to catch up following a moratorium on new PPAs pending the review of the current ones. On the contrary, the push for last mile connectivity, as well as, consumer demand from the reopening economy will boost demand.

Graph 8: Power Consumption



Source: KPLC Annual Report

- **Going Green- Push for renewable energy**: Following the implementation of various reviews over the years there has been a strong push to abandon the expensive thermal energy. Recently, expiring thermal PPAs such as Tsavo power and KENGEN's Embakasi plant were not renewed. Looking at FY21 KPLC financials the comparison between the units purchased from KENGEN versus cost incurred, thermal power cost **KES 14.95Kwh** compared to **KES 5.02Kwh** for non-thermal. However, the major challenge with renewables is that they are prone to effect from climatic conditions. Previously, moments of draught has seen a reduction in Hydro production while wind and solar have a high intermittency.

- **Renewable Energy Auction Policy vs Feed in tariff (FiT)Policy:** We observed a mix-up in policy that has left loopholes for IPPs to exploit. Renewable energy projects were supposed to supply power using the FiT policy – negotiated procurement. However, the policy has been left unreviewed since 2012 failing to factor in advances in technology for solar and wind , over that period that has made power generation cheaper. As such KPLC is left to pay expensive tariffs in comparison to cheaper tariffs had the new 2021 FiT policy been approved. Conversely, the renewable energy auction policy recommends that projects with a capacity of more than 20MW should be subjected to a power auction model. We see the tariffs review as a huge positive for KPLC in terms of reduction of the cost of sales. Furthermore, we do not foresee any material impact on KENGEN when the REP is enforced as their tariffs are already the lowest and will in fact be used as the benchmark rates.

KENYA ELECTRICITY GENERATING COMPANY

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February 2022

Recommendation: **BUY**

Target Price – KES 5.30
Current Price – KES 3.98
Potential Upside – 33.10%

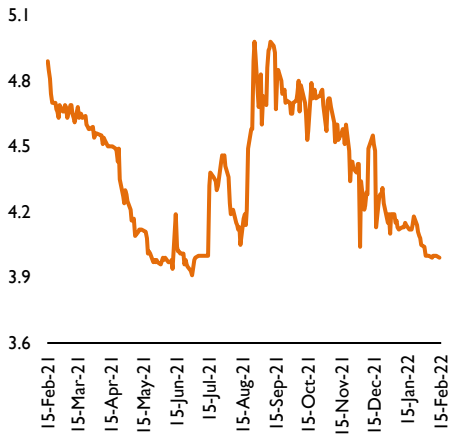
NSE Ticker - KEGN
Bloomberg Ticker – KEGC KR

52 Week Trading Range – KES

EPS (FY21) – KES 0.77
DPS (FY21) – KES 0.30
P/E – 21.5x
PB – 0.13x
ROA – 0.3%
ROE – 0.6%

I Year Share Price Movement

KENGEN I Year Share Price



Positives

- **Geothermal to drive Power Generation:** We forecast a geothermal power generation to hit **1,000MW** by FY26 driven by the completion of new projects in the pipeline totaling to. Furthermore, electricity revenue is projected to grow by a 5-year CAGR of **2.65%** driven by Steam revenue from geothermal exploration. As has been the trend, we foresee KENGEN reducing any new commitments in thermal energy following the push for cleaner and cheaper energy. On the other hand, we expect increased investments in green energy in Solar and Wind, as well as exploration of new energy sources such as Liquified Natural Gas (LNG).

- **Regional expansion through Horizon III strategy to boost revenue:** We expect revenue diversification from drilling contracts in foreign markets to continue contributing to the overall revenue growth. Ethiopian market contributed more than **KES 1.20Bn** in drilling revenues in FY'21 and we expected drilling contacts with Djibouti and other Eastern African countries will significantly contribute to the revenue in the long term.

Negatives

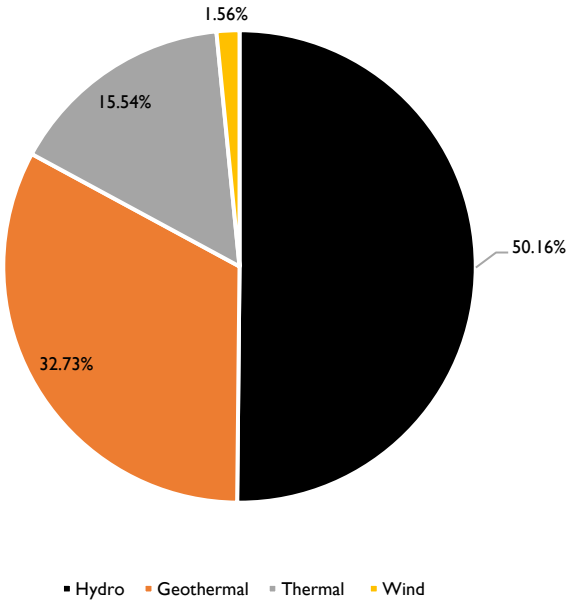
- **Audit concerns on Balance sheet valuation:** We remained concerned on the audit issue raised in the last financial release. The auditors issued a qualified opinion in relation to valuation of work in progress estimates for property plant and equipment which had not been revalued as per set policy guidelines. Management pointed to a faster resolution of the issues raised. As such we do not foresee any material impact on our valuation.

- **High foreign currency dominated cost of funding:** We expect debt growth to weaken but to remain as mostly foreign currency denominated. With power generation being capital intensive KENGEN has accumulated over **KES 100Bn** of debt which is mostly denominated in foreign currency as it is sourced from foreign development finance institutions. The company intends to use PPP financing to ease up on the cost of financing. Kenyan shilling depreciation is likely to weigh down on gains from reduced finance costs.

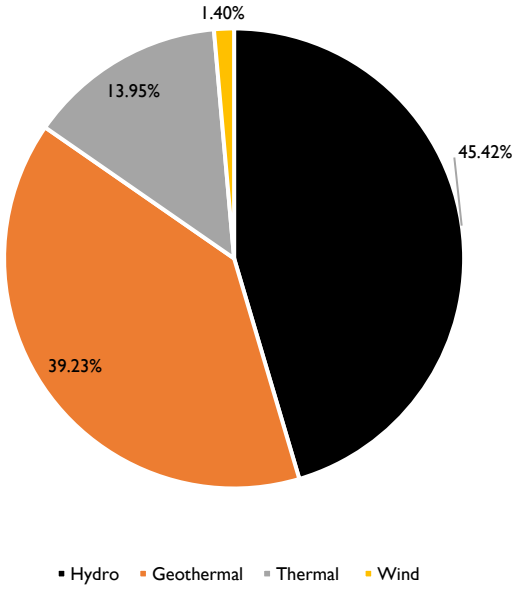
Going Green: The Race to 1.0 GW

- **Geothermal Production capacity:** At a current installed capacity **713.3 MW** we foresee KENGEN achieving **1,000 MW (1GW)** by 2025 supported by the current project pipeline of in excess of 300MW. The entire great rift valley section in Kenya has an estimated geothermal potential of 10,000 MW (10GW) representing a huge untapped resources. LCDP report identified geothermal as the most cost effective power option in the market. Additionally, it is regarded as clean and less susceptible to weather conditions unlike Wind, solar and hydro. We foresee geothermal as the main source of power for KENGEN in the near and long term. Steam revenue is expected to steadily grow to **KES6.8Bn** by FY26. Steam costs are forecasted to grow minimally to **KES 3.88Bn** as the company continues to invest in efficient production technology.

Graph 9: Power Generation Mix 2016



Graph 10: Power Generation Mix 2021



Source: KENGEN Annual Report

- **Hydro power:** Current installed capacity is **at 825.00 MW** mainly concentrated ta the seven folks dams. We expect hydro to register growth albeit at a slower pace than geothermal driven by refurbishments at the seven folks dam. Compared to geothermal (300MW) there is only 8.6MW in the pipeline. Key underlying risk is exposure to weather vagaries where periods of drought has seen a reduced water level at the reservoirs slowing power generation.

Going Green: Push for Renewables

- **Vast Solar and Wind potential in Kenya:** Current installed capacity of **25.5MW** for Wind energy by KENGEN represents an underutilized capacity. The northern, lower and coastal regions experience wind speeds of higher than 6M/s which is the requirement for power generation. We believe the two sources remain largely unexploited with Kenya's strategic location near the equator giving the country a 5-7 hours of peak sunshine. The total amount of shortwave radiation received from above by a horizontal surface (GHI) for most regions in Kenya fall above the globally recommended rate of 2,400kWh/m2/year. Therefore, we expect KENGEN to continue pursuing solar as a power source mostly through the development of the floating solar project at the Seven folks dams. In total KENGEN has a project pipeline of **82.5MW** and **100MW** for Solar and Wind by 2024.

- **Deleveraging using PPPs to reduce finance cost:** Despite continued growth in debt levels in the preceding years, we project the firm to gradually ease up on its current debt levels. This is informed by gradual reduction in the capex from FY23 onwards, coupled with higher free cashflow bringing down the debt levels (**35.90%** in FY26 from **40.94%** in FY21). In addition, KENGEN plans to finance Olkaria VI (140MW) through PPP financing with the company currently sourcing for a qualified bidder. The private sector financing using PPP is expected to weighed down on the amount of borrowing used in CAPEX and thus lowering the debt levels. Lower debt levels are expected to tame the financing cost to a marginal growth remaining in the current **KES 4.00Bn** levels. However, the persistent local currency depreciation is likely to wipe some of the benefits as most of the debt is foreign currency denominated.

1H22 Earnings Expectations

- **Revenue diversification to drive top line:** We expect the recent drilling contracts in Ethiopia and Djibouti to contribute revenues in excess of **KES 1.00Bn**. Furthermore, the vast experience in drilling is expected to be an added advantage in sourcing key contracts across Africa. The company has also opened the Olkaria industrial park with more reliable power connection. We foresee the 1H22 revenues coming in at **KES 21.78 Bn** from **KES 20.36Bn** in 1H21 (6.95% y/y gain) driven by increased geothermal production after completion of more well heads supplemented by drilling exploration revenue.

- **Improved efficiency to drive bottom line higher:** We expect a marginal growth in PBT (1.06% y/y to **KES 6.94Bn**) driven by the growing top-line (+6.95% y/y to **KES 21.78Bn**) Additionally, we project a reduction in depreciation and amortization costs (-1.01% y/y) and higher reduction in OPEX to **KES 5.70Bn** (-2.06%). Effect of compensating tax will not be likely felt in 1H22 as there has not been any new completed well heads during the period. We further expect a flat EPS growth to range between **KES 0.7 -0.8** and do not expect any interim dividends which may deem the allure of the counter for short-term investors.

VALUATION SUMMARY

We issue a BUY recommendation on KENGEN PLC at a target price of **KES 5.30** representing an upside of 33.10% on the current price of **KES 3.98**. The fair value estimate is based on the Dividend Discounted Model, Residual Income valuation model and Market Comparable multiples methods. The risk-free rate is pegged on the 10-yr government Bond rate

Table 1: Cost of Equity Assumptions

Cost of Equity Assumptions	
Risk Free Rate	12.6%
Country risk premium	5.4%
Company Beta	1.00
Cost of equity	18.0%

Table 2: Dividend Discounted Model Assumptions

DDM	30-Jun-22f	30-Jun-23f	30-Jun-24f	30-Jun-25f	30-Jun-26f
Dividends	1.9	2.0	2.1	2.3	2.4
Terminal Value					11.5
Total Cash Flow	1.9	2.0	2.1	2.3	13.9
Time in Years	0.4	1.4	2.4	3.4	4.4
Discounting Factor	**0.9**	**0.8**	**0.7**	**0.6**	**0.5**
Discounted Cashflow	1.8	1.6	1.4	1.2	6.5
Total Equity Value	12.5				
Number of shares	6.6				
Fair Value	1.9				
Current Price Per Share	3.98				
Upside/Downside	**-52.11%**				

Table 3: Methodology Weightings

Valuation Method	Weight	Implied Price	Weighted Price
Dividend Discount Model	40.0%	1.9	0.8
Residual Income	40.0%	8.2	3.3
P/B Basis	10.0%	9.2	0.9
P/E Basis	10.0%	3.6	0.4
Target Price			**5.30**
Current Price			**3.98**
Upside/(Downside)			**33.10%**
Dividend Yield			7.51%
Total Return			**40.61%**

Source: AIB-AXYS Analyst Estimates, Bloomberg, Annual Report

Table 4: Income Statement

	30-Jun-20A	30-Jun-21A	30-Jun-22f	30-Jun-23f	30-Jun-24f	30-Jun-25f	30-Jun-26f
Total Revenue	**46.68**	**43.36**	**43.56**	**44.62**	**45.99**	**47.71**	**49.82**
Steam Costs	(3.16)	(3.03)	(3.90)	(4.00)	(4.12)	(4.28)	(4.47)
Operating Expenses	(10.88)	(12.88)	(11.41)	(11.69)	(12.04)	(12.50)	(13.05)
Total OPEX	**(14.05)**	**(15.90)**	**(15.31)**	**(15.68)**	**(16.17)**	**(16.77)**	**(17.51)**
EBITDA	**32.63**	**27.46**	**28.25**	**28.93**	**29.82**	**30.94**	**32.31**
Depreciation and Amortization	(12.03)	(11.52)	(11.36)	(11.69)	(12.04)	(12.40)	(12.76)
Finance income	1.43	1.88	1.88	1.88	1.88	1.88	1.88
Finance costs	(8.24)	(3.05)	(4.88)	(4.74)	(4.54)	(4.34)	(4.10)
Profit Before Tax	**13.79**	**14.76**	**13.89**	**14.38**	**15.12**	**16.08**	**17.32**
Income Tax Expense	4.59	(13.57)	(4.17)	(4.31)	(4.54)	(4.82)	(5.20)
Profit After Tax	**18.38**	**1.19**	**9.72**	**10.06**	**10.58**	**11.26**	**12.13**

Table 6: Statement of Financial Position

	30-Jun-20A	30-Jun-21A	30-Jun-22f	30-Jun-23f	30-Jun-24f	30-Jun-25f	30-Jun-26f
Non-current Assets	378.89	381.84	395.20	401.44	407.79	414.27	421.87
Current Assets	34.04	43.82	37.48	42.22	45.79	49.99	53.73
Total Assets	**412.93**	**425.66**	**432.69**	**443.66**	**453.59**	**464.26**	**475.59**
Equity	211.32	210.32	218.10	228.34	236.80	245.81	255.51
Non-current Liabilities	184.55	194.94	192.53	192.53	190.80	188.93	185.59
Current Liabilities	17.06	20.40	22.05	22.79	25.99	29.52	34.50
Total Equities and Liabilities	**412.93**	**425.66**	**432.69**	**443.66**	**453.59**	**464.26**	**475.59**

Table 3: Key Ratios

	30-Jun-20A	30-Jun-21A	30-Jun-22f	30-Jun-23f	30-Jun-24f	30-Jun-25f	30-Jun-26f
Current Ratio (x)	2.00	2.15	1.70	1.85	1.76	1.69	1.56
Quick Ratio (x)	1.92	2.05	1.66	1.81	1.72	1.66	1.52
Debt to Equity (x)	0.95	1.02	0.66	0.63	0.60	0.57	0.53
Debt to Assets (x)	0.49	0.51	0.50	0.49	0.48	0.47	0.46
EV/EBITDA (x)	5.26	5.94	5.87	5.59	5.27	4.92	4.53
Return on Equity (%)	8.70	0.57	4.46	4.41	4.47	4.58	4.75
Return on Assets (%)	4.45	0.28	2.25	2.27	2.33	2.42	2.55

Source: AIB-AXYS Analyst Estimates, Annual Report

KENYA POWER AND LIGHTING COMPANY

KPLC is the single off taker of power generated in Kenya for onward distribution to consumers. We issue a HOLD on KPLC informed by a fair value of **KES 1.78** representing a 12.73% upside on the current price of **KES 1.58**. With the ghost of the past (Rights issue leading to ownership dilution) already forgotten we still observe, albeit from a distance, some form of value on the counter given the new push for power sector reforms playing into the companies growth story. However, the management has a mountain of work to do to put the companies ducks in a row given the perennial underperformance, ironic for a monopoly. We expect a modest growth in both the top-line (4.17% 5 Year CAGR to **KES 182.26Bn**) and the bottom-line (26.11% 5 Year CAGR to **KES 7.04Bn**).

- **Growing Electricity Demand to drive Top-line growth:** Country wide electricity demand is expected to grow to excess of 3,000 MW by 2030. This demand translates to more sales for KPLC given the implementation of last mile connectivity for domestic and small commercial consumers. We expect electricity sales to grow at a CAGR of 26.11% to **KES 182.26Bn** in FY'26 driven by a faster growth in pre-paid (5 year CAGR of 12.30% to **KES 42.95Bn**) compared to post paid sales (5 year CAGR of 2.82% to **KES 127.15Bn**). We expect small scale commercial customers to remain as the most profitable from the current **KES 19.57/unit** given the growth in SMEs. We also project the commercial/industrial and domestic charge per unit touching the **KES 20.0/unit** by FY'26 from the current **KES 16.0/unit** levels.

- **PPA Renegotiation positive for long term play:** KPLC being a monopoly has experienced structural tailwinds that have offset growth recorded in electricity sales. Loopholes in tariff regulations have seen KPLC held in expensive long term power purchase agreements with power producers leading to a 2.85% 5-year CAGR in cost of power purchases. Presidential task force on power sector reforms recommended a review of existing PPAs after it was revealed that some IPPs are supplying power at 25x more than the KENGEN's KES 5.0/ unit levels. We expect PPA renegotiation to also contribute to the success of consumer tariffs reduction.

- **Increased CAPEX to improve infrastructure network:** We expect the company to continue investing in infrastructure developments through construction of substations and low voltage transmission lines. Additionally, the intention to invest more in the internet cable network will increase the revenue generated from cable leasing business. After years of declining the CAPEX yield picked in FY'21 to reached **7.91%** and we expect it to reach 10.00% by FY'25. However, we remained perturbed by CAPEX funding from debt as the company is already near 200% in debt to Equity ratio with the Debt Servicing Coverage Ratio (DSCR) recovering to 0.54 in FY'21.

February 2022

Recommendation: **HOLD**

Target Price – KES 1.78
Current Price – KES 1.58
Potential Upside – 12.73%

NSE Ticker - KPLC
Bloomberg Ticker – KPLL KR

52 Week Trading Range – KES 3.91-1.28

EPS (1H21) – KES 1.86
DPS (FY21) – KES 0.00
P/E – 9.60
PB – 0.42
ROA – 2.10%
ROE – 3.60%

1 Year Share Price Movement

KPLC 1 Year Share Price



However? - The downsides

- **Commercial viability remains under threat:** System losses have increased to **23.95%** in FY'21 from **19.41%** in FY'16 mainly driven by an increase in kilometres of low voltage lines which have the highest susceptibility to power losses. Additionally, illegal connections and increased cases of vandalism have contributed to large revenue losses. As identified in the Presidential task force addressing the issue of system losses will be key in achieving the 30% power tariffs reduction. We view the power losses and the pressure to reduce the power tariffs as potential risks to our valuation as it is likely to threaten the commercial viability of an already struggling entity. Furthermore, the recent announcement of a staff layoffs that will cost **KES 6.6Bn** is likely to be an additional expense with minimal ROI. The firm intends to hire a younger crop of staff members incurring training and induction costs reducing the profit contribution per employee. We expect the staff reorganization to be accompanied by a system audit and overhaul to stem out perennial corruption cases which will be an additional costs and might lead to additional wastage if it does not yield results.

- **Working Capital challenges to persist in the medium term:** Declining Fundamentals of the business are reflected in the poor current ratio figures (**0.43x** in FY21 lower than favorable 1.0x) mainly attributable to accumulation of payables – mostly to KENGEN (**5 Year CAGR of -9.34%)** faster than growth in Inventories (5 Year CAGR of 9.72%) and Receivables (5 Year CAGR of -4.76%) . Subsequently, the working capital figure has been deteriorating over the years with no end in sight which signifies a struggle to meet short term obligations.

1H22 Earnings Expectations

- **Electricity Revenue to register modest growth:** We expect revenue from electricity sales to improv to **KES 74.27Bn** (+7.62% y/y) driven by increased demand from reopened sectors of the economy. Cost 0f sales are likely to come in higher at **KES 49.59Bn** (+8.80% y/y) driven by Non-fuel costs increasing modestly driven by more power generation , while Fuel costs are expected to continue declining owing to less thermal electricity consumption. while geothermal production after completion of more well heads supplemented by drilling exploration revenue.

- **Operating cost to way down on bottom line:** We expect a modest growth in PBT (+374.85% y/y to **KES 1.57Bn**) driven by the declining finance costs (-45.13% y/y to **KES 4.42Bn**). The use low cost loans from development institutions provides cheaper sources of funding with the downside being the foreign currency denomination which could be affected by shilling's performance against those currencies. However, we project a higher growth in OPEX to **KES 22.29Bn** (+19.36% y/y) which will way down on bottom line growth. OPEX growth will be driven by higher expenses in network management, commercial maintenance and the ongoing company reorganization which will be costly to implement but is likely to reduce administrative costs in future. We further expect an improved EPS growth to range between **KES 0.45 -0.60** and do not expect any interim dividends which may scare away any speculative buys by short-term investors.

VALUATION SUMMARY

We issue a HOLD recommendation on KPLC at a target price of **KES 1.78** representing an upside of **12.73%** on the current price of **KES 1.58**. The fair value estimate is based on the Discounted Cashflow Model and Market Comparable multiples methods. The risk-free rate is pegged on the 10-yr government Bond rate

Table 7: Cost of Equity Assumptions

Cost of Equity Assumptions	
Risk Free Rate	12.6%
Country risk premium	5.4%
Company Beta	1.00
Cost of equity	18.0%

Table 8: Dividend Discounted Model Assumptions

FCFF Assumptions	30-Jun-22	30-Jun-23	30-Jun-24	30-Jun-25	30-Jun-26
EBIT	3,153	2,860	5,427	7,359	10,059
After Tax EBIT	2,207	2,002	3,799	5,151	7,041
Capex	23,830	25,798	24,852	25,318	25,792
Depreciation & Amortization	18,575	19,016	19,372	19,735	20,104
Changes in WC	(476)	589	1,465	(2,919)	5,007
	(4,779)	(7,372)	(6,946)	(2,664)	(10,695)
Net cashflow	6,987	9,373	10,745	7,815	17,736
Terminal value					150,417
Discount rate	0.94	0.80	0.68	0.57	0.49
Discounted Cashflow	6,576	7,481	7,267	4,482	81,764
Terminal growth rate	6%				
No of shares (millions)	1,954				
WACC	17.9%				
PV of operating assets	107,862				
Net Cash	(104,415)				
Fair Value	**1.76**				
Price price	**1.58**				
Upside	**11.68%**				

Table 9: Methodology Weightings

Blended Fair Value	FV Estimates	Weighting	Weighted Value
DCF Valuation	1.76	80%	1.41
P/B Valuation	1.58	10%	0.16
PE Valuation	2.12	10%	0.21
Fair Value			**1.78**
Current Price			**1.58**
Upside/(Downside)			**12.73%**
Dividend Yield			**0.0%**
Total Return			**12.73%**

Source: AIB-AXYS Analyst Estimates, Bloomberg, Annual Report

Table 10: Statement of Financial Position

	30-Jun-20A	30-Jun-21A	30-Jun-22f	30-Jun-23f	30-Jun-24f	30-Jun-25f	30-Jun-26f
Revenue	133,259	144,120	148,550	154,306	161,558	170,901	182,257
Cost of Sales	(87,499)	(94,220)	(99,183)	(103,190)	(105,780)	(109,509)	(114,156)
Gross Profit	**45,759**	**49,900**	**49,367**	**51,116**	**55,778**	**61,392**	**68,101**
Network Management	(11,119)	(10,237)	(10,749)	(10,964)	(11,184)	(11,564)	(11,957)
Commercial Services	(6,659)	(5,765)	(6,918)	(7,333)	(7,920)	(9,274)	(10,953)
Administration	(26,789)	(23,504)	(26,559)	(27,091)	(27,903)	(29,494)	(31,470)
Expected Credit losses	(3,268)	(354.190)	(354)	(354)	(354)	(354)	(354)
Total Opex	**(47,834)**	**(39,861)**	**(44,581)**	**(45,742)**	**(47,361)**	**(50,686)**	**(54,734)**
Other Income	7,387	7,046	7,046	7,046	7,046	7,046	7,046
	5,312	17,085	11,832	12,420	15,463	17,752	20,413
Finance Income	123	163	163	163	163	163	163
Finance Cost	(12,477)	(9,050)	(8,841)	(9,723)	(10,199)	(10,556)	(10,517)
Profit/Loss Before Tax	**(7,042)**	**8,198**	**3,153**	**2,860**	**5,427**	**7,359**	**10,059**
Income Tax	6,103	-6,708	(946)	(858)	(1,628)	(2,208)	(3,018)
Profit for the Year	**(939)**	**1,490**	**2,207**	**2,002**	**3,799**	**5,151**	**7,041**

Table 11: Income Statement

	30-Jun-20A	30-Jun-21A	30-Jun-22f	30-Jun-23f	30-Jun-24f	30-Jun-25f	30-Jun-26f
Non Current	282,640	282,595	287,850	294,632	300,113	305,696	311,383
Current Assets	42,627	49,635	58,179	58,585	58,256	66,880	66,343
Total Assets	**325,267**	**332,230**	**346,029**	**353,217**	**358,368**	**372,576**	**377,726**
Equity	54,897	57,174	59,381	61,383	65,182	70,334	77,375
Non Current Liabilities	152,895	158,942	168,150	171,890	171,890	171,890	156,449
Current Liabilities	117,476	116,114	118,498	119,945	121,296	130,352	143,903
Equity and Liabilities	**325,267**	**332,230**	**346,029**	**353,217**	**358,368**	**372,576**	**377,726**

Table 12: Key Ratios

	30-Jun-20A	30-Jun-21A	30-Jun-22f	30-Jun-23f	30-Jun-24f	30-Jun-25f	30-Jun-26f
Debt Service Coverage ratio (DSCR)	(0.08)	0.34	0.54	0.55	0.83	1.01	1.27
Debt/ Equity Ratio (%)	200.31	187.13	194.09	193.85	182.55	169.18	153.21
EBITDA Margins (%)	11.61	34.24	23.97	24.30	27.72	28.92	29.97
Current ratio (x)	0.36	0.43	0.49	0.49	0.48	0.51	0.46

Source: AIB-AXYS Analyst Estimates, Annual Report



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Investment ratings

- **BUY:** Issued on counters with strong fundamentals whose upside lies above 15.0%.
- **HOLD:** Issued on counters with an upside of between 5% and 14.9% with limited avenues for growth.
- **SELL:** The counter currently has weak fundamentals coupled with potential downside

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